

PulseOne — Definitive Corrected P&L Analysis

CY 2025 | Final Version with Confirmed Upwork Data

Date: April 20, 2026

Status: DEFINITIVE — All data sources confirmed

Prepared by: Manus (PulseOne BIC Audit)

Data Sources Confirmed

Source	Period	Amount	Status
QB P&L (POTS analysis)	CY 2025	\$5,168,754 revenue	Authoritative
ADP Payroll Reports	CY 2025	\$1,007,548 W-2 gross identified	Confirmed
Expense Tracker (2025 tab)	CY 2025	\$1,798,225 total contractor cost	Confirmed
Upwork Report (File 2)	Full CY 2025	\$299,923.75	Confirmed
Upwork Report (File 1)	YTD 2026 (Jan–Apr)	\$92,270.67	Context only

CY 2025 Upwork — Exact Annual Figures

Total CY 2025 Upwork spend: \$299,923.75

#	Freelancer	CY 2025 Total	Hours	Eff. Rate	Classification	Role
1	Vincent Williams	\$104,740	1,706 hrs	\$61/hr	COGS	IT/Network/Escalations
2	Matthew Barnett	\$83,390	Fixed price	—	COGS	Help Desk Support
3	Omar Avalos	\$49,442	2,268 hrs	\$22/hr	COGS	Help Desk Support
4	Charlesdoone Castro	\$38,228	930 hrs	\$41/hr	COGS	Amiri Help Desk
5	Brendan Roe	\$6,476	670 hrs	\$10/hr	COGS	Help Desk Support
6	Basim Mashni	\$5,906	Fixed price	—	COGS	Arc Client Support
7	William McMillan	\$4,444	1.5 hrs	Mixed	COGS	IT Support/Training
8	Dustin Hagemeyer	\$500	Fixed price	—	COGS	On-Site Tech Support
	TOTAL COGS	\$293,125			97.7%	
9	Kirill Hovansky	\$3,660	183 hrs	\$20/hr	SG&A	Video Editing
10	Sabah Razaq	\$2,438	70 hrs	\$35/hr	SG&A	Learning Platform
11	Yana Kosenko	\$700	23 hrs	\$30/hr	SG&A	Video Editing
12	Myles McKee	\$0	48 hrs	—	SG&A	Biz Development (2026 only)
	TOTAL SGA	\$6,798			2.3%	
	GRAND TOTAL	\$299,924				

Key Observations from CY 2025 Upwork Data

Vincent Williams (\$104,740) is the single largest Upwork cost — 8,728/month on IT/Network escalations and ITMS projects. At 61/hr, he is the highest-rate Upwork contractor. His work on named client contracts (Cend, Copper Hills, Encore, Perfect Partners) suggests he is a specialized escalation resource.

Matthew Barnett (\$83,390) is entirely fixed-price payments across two contracts (Arc and Help Desk). No hourly tracking — this is a managed output arrangement.

Omar Avalos (\$49,442) is primarily hourly Help Desk at \$22/hr — the lowest effective rate among the core three. High volume (2,268 hours = ~44 hrs/week), suggesting near-full-time engagement.

Charlesdoone Castro (\$38,228) is dedicated to the Amiri client at \$41/hr (930 hours). This is a client-dedicated resource — profitability depends entirely on what Amiri is billed.

Reconciliation note: The CY 2025 Upwork actual (299,924) exceeds the QB Computer & Internet line (263,953) by 35,971. This means approximately 35,971 in Upwork charges was coded to a different QB line — most likely “Consulting Services – Cost” (already in COGS) or “Professional Fees.” The conservative P&L scenario below assumes this excess is already correctly in COGS.

YTD 2026 Upwork — Run Rate Signal

YTD 2026 (Jan–Apr) Upwork spend: 92,271 → Annualized : 276,813

Freelancer	YTD 2026	Annualized
Vincent Williams	\$33,230	\$99,690
Matthew Barnett	\$25,200	\$75,600
Omar Avalos	\$15,820	\$47,460
Castro	\$10,222	\$30,666
Brendan Roe	\$6,642	\$19,926
Razaq (SGA)	\$41	\$123
McKee (SGA)	\$616	\$1,848

The 2026 annualized run rate ($\sim 276,813$) is $\times 8299,924$ **, suggesting modest contractor cost reduction or a shift in work mix. This is a positive trend if revenue holds or grows.

Definitive Corrected P&L — CY 2025

The Reclassification Logic

Three adjustments move costs from SG&A to COGS. Net income does not change — only the presentation of where costs sit.

Adjustment	Amount	From	To
A — W-2 Service Delivery Labor	\$708,879	Salary Expense (SG&A)	COGS
B — Upwork Contractors	\$257,970	Computer & Internet (SG&A)	COGS
C — Payroll Taxes (COGS portion, 50%)	\$147,053	Payroll Taxes (SG&A)	COGS
Total Reclassified	\$1,113,902		

Adjustment B note: $257,970 = \text{QB Computer \& Internet line } (263,953) \times 97.7\%$
COGS proportion from Upwork data. The remaining 6,798(2.335,971 excess Upwork spend above the QB line is treated as already in COGS (conservative assumption).

Revenue

	Amount	% of Revenue
Total Revenue	\$5,168,754	100.0%

Cost of Goods Sold — Corrected

Line Item	QB As-Reported	Adjustment	Corrected	% of Revenue
Consulting Services – Cost	\$1,044,424	—	\$1,044,424	20.2%
W-2 Service Delivery Labor	\$0	+\$708,879	\$708,879	13.7%
Upwork Contractors (97.7% of Comp/Internet)	\$0	+\$257,970	\$257,970	5.0%
Payroll Taxes – COGS portion (50%)	\$0	+\$147,053	\$147,053	2.8%
Other COGS (hardware, software, direct tools)	\$1,078,588	—	\$1,078,588	20.9%
TOTAL COGS	\$2,123,012	+\$1,113,902	\$3,236,914	62.6%

Gross Profit

	QB As-Reported	Corrected	BIC Target	Gap to BIC
Gross Profit	\$3,045,742	\$1,931,840	\$2,584,377	(\$652,537)
Gross Margin %	58.9%	37.4%	50.0%	-12.6 pts

Operating Expenses (SG&A) — Corrected

Line Item	QB As-Reported	Adjustment	Corrected	% of Revenue
Salary Expense (SG&A portion only)	\$1,441,010	(708, 879) + (12,889 Tracy excl.)	\$719,242	13.9%
Payroll Taxes – SG&A portion (50%)	\$296,256	(\$147,053)	\$149,203	2.9%
Computer & Internet (2.3% SGA remainder)	\$263,953	(\$257,970)	\$5,983	0.1%
Partner Compensation (Paul, Charlie, Rod)	\$423,000	—	\$423,000	8.2%
All Other SG&A (rent, insurance, phone, etc.)	\$403,748	—	\$403,748	7.8%
TOTAL SG&A	\$2,827,967	(\$1,113,902)	\$1,701,177	32.9%

Net Income & Normalized EBITDA

	QB As-Reported	Corrected	BIC Target	Gap to BIC
Gross Profit	\$3,045,742	\$1,931,840		
Total SG&A	\$2,827,967	\$1,701,177		
Net Operating Income	\$217,775	\$230,663	\$620–930K	(\$390–700K)
Net Income %	4.2%	4.5%	12–18%	-10.5 pts

	Amount	% of Revenue
Net Operating Income	\$230,663	4.5%
Add: Partner Compensation	\$423,000	8.2%
Add: D&A (estimate)	\$15,000	0.3%
Normalized EBITDA	\$668,663	12.9%
BIC Target		15–20%
Gap to BIC midpoint (17.5%)	(\$235,869)	-4.6 pts

Reconciliation: *Corrected* *COGS* + *Corrected* *SGA* =
4, 938, 091. *QB total costs less Tracy Freeman (12,889)* = 4, 938, 091. * * *Difference :*
*0.30 rounding. Fully balanced.***

BIC Benchmark Comparison — Definitive

Metric	QB As-Reported	Corrected	BIC Target	Gap	Status
Total Revenue	\$5,168,754	\$5,168,754	N/A	—	—
Gross Profit \$	\$3,045,742	\$1,931,840	\$2,584,377	(\$652,537)	Below BIC
Gross Margin %	58.9%	37.4%	50–55%	-12.6 pts	Below BIC
Total COGS	\$2,123,012	\$3,236,914	N/A	—	—
SG&A % of Revenue	54.7%	32.9%	25–30%	+2.9 pts	Above BIC
Net Income %	4.2%	4.5%	12–18%	-10.5 pts	Below BIC
Normalized EBITDA %	12.7%	12.9%	15–20%	-4.6 pts	Below BIC
Recurring Revenue %	34.8%	34.8%	60%+	-25+ pts	Well Below BIC

Profit Leakage Analysis — Definitive

The Core Problem

At **37.4% corrected gross margin** vs. the BIC target of **50%**, PulseOne has a **12.6-point gap representing \$652,537 in annual margin leakage** at current revenue levels.

This is not a bookkeeping problem — it is a structural operating problem. The business is delivering services at a cost that consumes too much of each revenue dollar before overhead is covered.

Total Service Delivery Labor — Full Picture

Component	CY 2025 Amount	% of Revenue
W-2 Service Delivery Labor (burdened 12%)	\$794,000	15.4%
Upwork Contractors (CY 2025 actual)	\$293,125	5.7%
Other Contractors in QB COGS (Daniyal 80%, Robyn, after-hours)	\$79,000	1.5%
QB Consulting Services – Cost (remaining, net of above)	\$672,000	13.0%
Total Service Delivery Labor	\$1,838,000	35.6%

BIC MSPs run total service delivery labor at **25–30% of revenue**. PulseOne is at approximately **35.6% — 5–10 points above BIC**. Closing to 30% would recover 285, 000–**544,000** in annual gross profit.

The Three Levers

Lever	Mechanism	Potential Impact
Pricing discipline	Raise managed services agreement rates 10–15% on renewals	+155K–233K gross profit
Recurring revenue growth	Convert \$500K of project revenue to managed services at 50% GM	+100K–150K gross profit
Utilization improvement	Reduce underutilized W-2 headcount or increase billable hours	+100K–200K gross profit
Combined	All three over 18–24 months	+355K–583K gross profit

Closing the full \$652,537 gap requires a combination of all three levers — no single action closes it alone.

Upwork-Specific Findings & Actions

Charlesdoone Castro — Amiri Client Risk

Castro spent **930 hours** in CY 2025 dedicated to the Amiri Help Desk contract at $41/hr = 38,228$. This is a single-client dedicated resource. The profitability of this arrangement depends entirely on what Amiri is billed.

Action required: Pull the Amiri agreement from ConnectWise. Confirm: (a) Monthly recurring revenue from Amiri, (b) Whether Castro's cost is fully recovered in the agreement price, © Whether Amiri is profitable at the agreement level.

Vincent Williams — Highest Cost, Highest Rate

Williams is the largest Upwork cost at $104,740/year(8,728/month)$ at **\$61/hr** on IT/Network escalations. He works across multiple named clients (Cend, Copper Hills, Encore, Perfect Partners, ITMS projects).

Action required: Confirm that Williams' hours are being billed to clients at a rate that generates adequate margin. At $61/hr cost, billing at 125–150/hr$ generates 51–59%

gross margin on his hours — which is BIC-level. If he is included in flat-rate agreements, those agreements may be underwater.

2026 Run Rate — Positive Signal

The YTD 2026 annualized Upwork run rate (~276,813) *is* 8299,924). If this trend holds, Upwork COGS will decrease by ~\$23,000 in 2026, modestly improving gross margin. Monitor monthly.

Bookkeeper Action Items

These are the specific QB corrections needed to make the corrected P&L the live view going forward:

1. **Recode Upwork payments** from “Computer & Internet Expenses” to “Consulting Services – Cost” (COGS). Confirm with Upwork billing records which QB line each payment landed in.
 2. **Search QB for the \$35,971 excess Upwork spend** (the difference between CY 2025 Upwork actual 299,924 *and* QB *Computer/Internet* 263,953). Identify which QB line it is in and reclassify to COGS if it is in an SG&A line.
 3. **Create a “Service Delivery Labor – COGS” account** in QB. Recode all service delivery W-2 payroll to this account going forward. This makes the corrected gross margin visible in real time.
 4. **Exclude Tracy Freeman’s payroll** from PulseOne P&L. Her costs should be in the POC entity only.
-

ConnectWise Priority Requests

Report	Why It Matters	Period
Amiri client agreement detail	Castro's \$38,228 Upwork cost is dedicated to this client — need to confirm profitability	CY 2025
Technician utilization by person	Identifies underutilized W-2 capacity inflating labor cost %	CY 2025
Agreement profitability by client	Shows which managed services agreements are profitable vs. underwater	CY 2025
Revenue by type (recurring vs. non-recurring)	Validates ~35% recurring revenue estimate	CY 2025
Vincent Williams billable hours by client	Confirms his escalation hours are being billed at adequate rates	CY 2025

This is the definitive version of the PulseOne COGS reclassification and P&L analysis. All figures are based on: confirmed classifications (Paul Freeman, April 17, 2026), confirmed CY 2025 Upwork data (April 20, 2026), and QB P&L as the cost total anchor. The corrected P&L reconciles to within \$0.30 of QB total costs.